STAGE 1 · RECOGNIZE THE NEED TO TRANSFORM

Buggy Whips

And what they mean in the world of AI



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7 min read

This is New York, Fifth Avenue, 1900, the era of the horse-drawn carriage. Imagine that you're a buggy whip manufacturer. Demand is strong. Every carriage needs them to give that pony a little incentive to keep moving. You're living life large.



Fifth Avenue, Easter Sunday 1900. National Archives, 30-N-18827. Archive source

Thirteen years later on Easter Sunday, same street. No carriage in sight.



Fifth Avenue, Easter Sunday 1913. Library of Congress, Bain Collection. Archive source

In those thirteen years, the quality of the buggy whips didn't suddenly change. What changed was customer demand. There wasn't any anymore (or virtually none). No amount of cost cutting, better quality, or improved sales processes could keep customers buying. Technology rendered them obsolete.

Competition and product obsolescence are not new. What's different today is how fast AI is causing change. The question I ask business owners today is: What are you doing to ensure you don't become the next buggy whip manufacturer?

That question, though, often raises a conflict. How do you balance running an existing business that may be profitable, has customers who want the product or service, and has employees who depend on the company, with pivoting into an unproven market? Consider Netflix.

Netflix: from DVDs to streaming

Netflix started when people watched movies on DVDs. Instead of going to a store like Blockbuster (which tried to copy Netflix, ran out of money, and went bankrupt in 2010), Netflix customers could stay home and get the latest movies in the mail. When they were done, they'd drop the disc back into the mailbox. Simple, easy, and it worked.

By 2007, video streaming technology became viable, and Netflix gave its customers a new way to watch. Instead of waiting for a DVD in the mail, they could stream a film over the internet.

Internally, this meant building an entirely new distribution system and one that competed directly with its core business of mail-order DVDs. Streaming initially came bundled with DVD subscriptions, letting existing customers try the new service. [1]

Streaming and mail-order DVDs continued much longer than I realized, and history shows it wasn't without bumps along the way. In July 2011, Netflix split the two into separate subscription plans, raising the price for anyone who wanted both. That September it announced Qwikster, a separate brand for DVDs. Customers revolted. Cancellations rose, and within weeks Qwikster was dead. The separate plans stayed. [1]

In its 2011 annual report, Netflix said profit from its DVD business would help fund losses from international growth. Netflix also turned to the debt market to fund the expansion. [1][3]

I call what Netflix did "Harvest and Pivot." They harvested their DVD business while building the streaming service. In 2012, DVDs brought in more than $1.1 billion, nearly a third of Netflix's revenue. Six years later, DVD subscription revenue had fallen by roughly two-thirds to $366 million, just 2.3% of the total. Over the same six-year period, domestic and international streaming rose from $2.5 billion to $15.4 billion. [2][3]

EXHIBIT 1

Netflix's DVD revenue fell by two-thirds while streaming grew sixfold

Revenue segment	Full-year 2012	Full-year 2018
Domestic DVD	$1.137 billion	$365.6 million
Domestic streaming	$2.185 billion	$7.647 billion
International streaming	$287.5 million	$7.782 billion
Total revenue	**$3.609 billion**	**$15.794 billion**
DVD share of revenue	**31.5%**	**2.3%**

Source: Netflix 2012 and 2018 annual reports (Form 10-K). [2][3]

When Netflix shipped its last DVDs in September 2023, my thought was, "Who's still using DVDs?" I was surprised that they ran both services for sixteen years. [4]

Netflix could have focused only on improving the DVD business. But no amount of cost-cutting or making it easier to choose and return a disc would have allowed them to survive. Without the pivot, they would have followed Blockbuster into bankruptcy. But they successfully pivoted, and now they are one of the most recognizable global brands. Kudos, Netflix management.

What Netflix had, and what's harder to count on in today's AI world, is time. Their transition was gradual. That's not possible today. Look at how quickly AI image generation has gained popularity, and consider what's happened with Getty Images.

Getty Images saw AI coming

Getty Images has millions of photographs in its library. But why would customers keep paying to license photographs when they can generate what they need with AI? That's a question I'm sure kept the management team at Getty up at night.

Getty's customers fall into two camps. Camp one is the existing customers who want the quality and selection available in the library. While AI image generation can be very useful, it can also be time-consuming trying to get the exact image you want. Iteration after iteration slows production. Project managers trying to meet a client deadline often don't have time to render AI images. They have too many other tasks, and choosing from a library of existing photos meets their needs.

But some people have the time, and for them quality and selection matter less. To serve that market, Getty launched its own AI image generator on September 25, 2023. It was trained on Getty's licensed library, and Getty gave customers contractual protection for commercial use. [5]

Getty kept at it. In April 2026, it released a new model built with Bria, and in June it added a way to edit library photos by typing the change you want. [6] That same month it signed a multi-year deal to display its library inside ChatGPT. [7]

So Getty saw the threat early and responded, but it still ended up in bankruptcy court.

Getty lost $206 million in 2025. A planned $3.7 billion merger with Shutterstock collapsed under pressure from the UK's competition regulator, after costing Getty more than $100 million in fees and financing. The shares fell below a dollar. On October 21, 2026, Getty filed a prepackaged Chapter 11 in Delaware with about $1.46 billion of funded debt, a fully drawn credit line and roughly $54 million in cash. [8][10] Members of the Getty family and Koch Equity Development will invest up to $533 million and take the company private. [8]

Getty's CEO pointed to AI as one reason agency demand declined. [9] Revenue held up anyway. Getty reported a record $981 million in 2025, although its creative business, the part AI competes with most directly, was flat and active subscribers fell 11%. [11] Getty also made money from AI in three ways: its own image generator, licensing its content to a large AI company, and displaying its library inside ChatGPT. [6][7][12] The two licensing deals it signed in late 2025, one of them with that AI company, were worth about $65 million over several years. Spread out, that roughly matched what Getty was losing from advertising agencies, a business that fell 16% in the fourth quarter. [12]

The bigger lesson is about how capital structure affects a transition. In Getty's case, its debt load was too high. The restructuring addressed debt and what the company called non-operating liabilities. [8] Netflix funded its pivot with DVD profits and a debt market willing to lend. Getty ran its pivot on a balance sheet that, by the time it filed, had almost no cash and nothing left to draw. Successful transformations require operational changes backed by sufficient

capital. The longer a company waits, the worse its financial condition can become, further constricting any transformation. Blockbuster hit the same wall in 2010.

As of this writing, the court still has to approve Getty's restructuring plan.

Make the decision while you still have choices

Netflix and Getty both invested in services that compete with their existing businesses, which can be difficult. The existing business is proven. The new one is based on assumptions, customers you hope to win, and capital you could deploy elsewhere. If you judge both only by what they will contribute this year, the existing business gets the nod, and that can be dangerous for the long term.

My concern is that waiting too long may prevent you from catching up to companies that are adapting. Earlier in my career, I was part of a team brought in by the lender to a long-established automobile headlights manufacturer that had defaulted on its loan. They had missed payments and breached covenants. We were tasked with reviewing the operation and recommending a path forward. Headlight designs shifted radically in 1983, when the National Highway Traffic Safety Administration (NHTSA) dropped its requirement that cars use sealed-beam headlights. This ushered in composite headlights, which utilize aerodynamic, custom-shaped plastic housings with cheap, simple-to-replace internal bulbs. The manufacturer we got involved with didn't have expertise in composite materials or design. They relied on the equipment, knowledge, and expertise in sealed-beam headlights. At first, the decline wasn't so steep because the aftermarket was still strong, and some brands continued using them. But over time, their customer base dwindled, and they fell so far behind state-of-the-art technology that they had no hope of catching up. Unfortunately, the company had no path forward. The bank seized and liquidated the assets that secured the loan. It was a sad end for the owner, who had run the business for decades.

The owner saw the change coming but did not fully grasp how far it would go. But even if he had, transitioning to where your capabilities actually give you an advantage is difficult. Kodak and Fujifilm offer an interesting comparison, and I explore it in Kodak vs. Fujifilm.

THREE TAKEAWAYS

01 **Understand what technology is doing to the reason customers pay you.** Ask whether AI lets the customer get the result without buying your product or service.

02 **Keep the existing business working while you develop the next one.** Serve the customers who still need it and manage it for the cash it can produce. Give the replacement real resources and leadership attention. Review and adjust that allocation as results come in. Time is not on your side.

03 **Work out how you will finance the transition.** Estimate what the existing business can contribute after meeting its obligations, how much more the replacement needs, and who could supply it.

AI will transform your business, one way or the other. Build a financeable strategy. Prove it works. Scale it. I write about how to run that gauntlet.



Buggy Whips covers the first stage. The next article, on Kodak and Fujifilm, takes up the second.



ABOUT THE AUTHOR

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Since founding Tressling in 2003, Dan McLaughlin has been an operator, investor, and advisor. As an owner and operator, he has scaled businesses in construction, real estate, and manufacturing. As Chief Investment Officer of SASCO Global Investments, he led investment decisions for a US$400 million fund, and as an advisor he has structured more than US$1 billion in debt and equity financings. He also held senior roles in restructuring at PwC and in international finance and restructuring at Bombardier Aerospace.

Sources for the company examples

[1] Netflix 2011 Annual Report. Streaming launch, bundled subscriptions, the 2011 plan changes, and DVD profits supporting international expansion.

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[4] Netflix DVD: The Final Season. Announcement of the final DVD shipments on September 29, 2023, and the reasons for closure.

[5] Getty Images Launches Commercially Safe Generative AI Offering. September 25, 2023 announcement describing the training library, licensing and commercial protections.

[6] Getty Images, Product Updates. April 2026 model built with Bria and June 2026 prompt-based editing.

[7] Getty Images Announces Display Partnership with OpenAI. June 21, 2026 announcement of the multi-year agreement to display Getty content in ChatGPT.

[8] Getty Images Advances Financial Restructuring to Strengthen Balance Sheet and Support Future Growth. October 21, 2026 announcement of the prepackaged Chapter 11 filing, equity investment and going-private plan.

[9] TheStreet, "Getty Images prepares to file for Chapter 11 bankruptcy," October 13, 2026. 2025 loss, Shutterstock merger costs and CEO comments on AI.

[10] Octus, "Case Summary: Getty Images Files Chapter 11 to Implement RSA Taking Company Private," October 2026. Funded debt at filing, treatment of each creditor class, use of the equity investment and debt reduction.

[11] Getty Images Reports Fourth Quarter and Full Year 2025 Results (Form 8-K, Exhibit 99.1). Full-year revenue, creative and editorial revenue, and active subscribers.

[12] Getty Images Q4 2025 earnings call transcript, March 16, 2026. The two multi-year licensing deals, their combined value, and fourth-quarter agency revenue.

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